Citadele banka

Issuer review · 6M2026

Analysis date: 2026-10-22
Rating: Moody's (2026-04-21): long-term deposits A3, senior unsecured Baa2, outlook stable; AT1 Ba3[1,2]
Next report: Q3 2026 public financial information - 2026-11-04[3]

Position OK. 1H profit EUR 39.8m (−8%), ROE 13.7%; CET1 17.8%, total capital 21.6%[4]. Citing geopolitical uncertainty, the bank paid out only 31.5% of profit as dividends, which favours bondholders[5].

Net profit (6M2026)	ROE (6M2026)	CET1 ratio (6M2026)	Total capital ratio (6M2026)
39.8 EUR m	**13.7%**	**17.8%**	**21.6%**
▼ 8.1 % vs 6M2025	▼ 1.7 p. p. vs 6M2025	▼ 0.4 p. p. vs FY2025	▼ 0.7 p. p. vs FY2025

Quick summary

- **Profit slightly lower:** 1H net profit (continuing operations) EUR 39.8m versus 43.3m; ROE 13.7% (15.4%). Net interest income stable at EUR 89.5m[4].
- **Capital and liquidity with headroom:** CET1 17.8%, total capital 21.6%, LCR 163%, NSFR 138%[6].
- **Cautious dividends:** EUR 25.7m paid for 2025 (31.5% payout versus a 50% policy) due to geopolitical uncertainty; a EUR 50m share buyback was completed in January 2026[5].
- **Management changes:** S. Mizak left the board (March 2026) and CRO J. Lebedinska-Ļitvinova stepped down (May 2026); E. Näsäkkälä is nominated as the new CRO[7].

Instruments held and ISINs

ISIN	Instrument	Coupon	Maturity	Note
XS3060301168	Citadele 7.125% AT1 perpetual	7.125%	perpetual	Additional Tier 1, temporary write-down, perpetual; fixed to first reset 2031-01-09; Moody's Ba3
XS3148256913	Citadele 3.875% fixed/floating senior preferred 2029	3.875%	2029-12-23	Senior preferred, MREL-eligible; fixed to reset 2028-12-23, then 3M EURIBOR+1.70%; Moody's Baa2

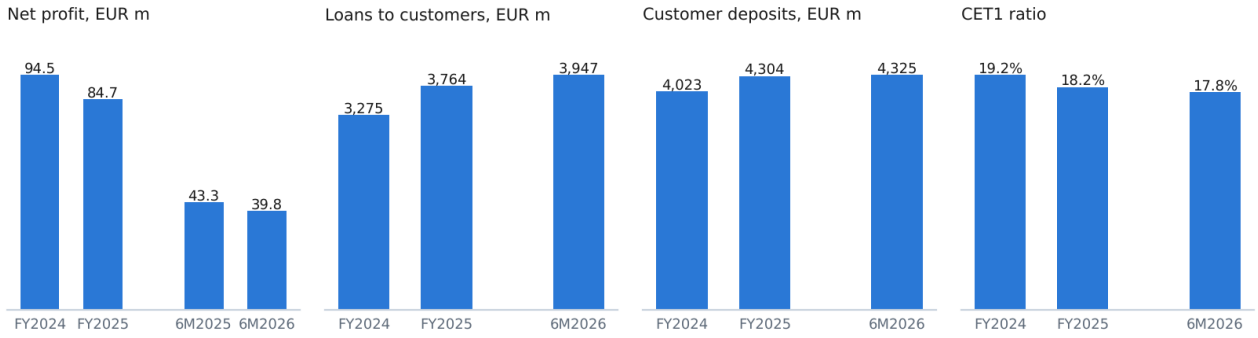
Key ratios

Metric	FY2024	FY2025	6M2025	6M2026	Change
Net profit, EUR m[8,4]	94.5*	84.7*	43.3*	39.8*	▼ 8.1 % vs 6M2025
Net interest income, EUR m[8,4]	192.5*	177.2*	89.2*	89.5*	▲ 0.3 % vs 6M2025
Total operating income, EUR m[8,4]	234.8*	221.5*	111.5*	109.4*	▼ 1.9 % vs 6M2025
Cost/income ratio[8,4]	48.4%*	49.2%*	47.1%*	**50.3%***	▲ 3.2 p. p. vs 6M2025
ROE[8,4]	17.5%*	14.6%*	15.4%*	**13.7%***	▼ 1.7 p. p. vs 6M2025
Cost of risk[8,4]	0.0%*	0.1%*	0.3%*	0.3%*	• 0 p. p. vs 6M2025
Net interest margin[4]	–	–	3.8%*	3.7%*	▼ 0.1 p. p. vs 6M2025
Loans to customers, EUR m[8,4]	3,275*	3,764*	–	3,947*	▲ 4.9 % vs FY2025
Customer deposits, EUR m[8,4]	4,023*	4,304*	–	4,325*	▲ 0.5 % vs FY2025
CET1 ratio[8,4]	19.2%*	18.2%*	–	**17.8%***	▼ 0.4 p. p. vs FY2025
Total capital ratio[8,4]	21.4%*	22.3%*	–	**21.6%***	▼ 0.7 p. p. vs FY2025
LCR[8,4]	181%*	181%*	–	**163%***	▼ 18 p. p. vs FY2025
NSFR[8,4]	143%*	141%*	–	**138%***	▼ 3 p. p. vs FY2025

Metric	FY2024	FY2025	6M2025	6M2026	Change
NPL ratio[8,4]	2.3%*	1.7%*	2.1%*	**1.9%***	**▼ 0.2 p. p. vs 6M2025**

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- Loans EUR 3,947m (+4.9% since YE2025), deposits EUR 4,325m (calculated by the tool)[9].
- Cost/income 50.3% (47.1%), cost of risk 0.3%, stage 3 loans 1.9% (2.1%)[10].
- Green financing in 1H EUR 56.4m (7.5% of new lending); EUR 176.2m in 2025[11,12].

Financials

- **FY2025 profit (continuing operations) EUR 84.7m (2024:** 94.5m), ROE 14.6% (17.5%); the Swiss Kaleido Privatbank was sold in 2025[13].
- On 2026-09-28 EUR 50m of senior preferred bonds (5.15%) were issued; part of the proceeds will buy back EUR 40m of subordinated bonds[2].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
Dividend policy: 50% of prior-year profit, subject to internal capital targets	31.5% paid for 2025; the remaining EUR 15.1m may be paid later in 2026[14,5]	Changed: the board reduced the payout due to geopolitical uncertainty[5].	**Revised**
Green financing target of EUR 75m for 2026	1H: EUR 56.4m[15,11]	In progress: 75% of the annual target reached in the half year (calculated by the tool)[11].	**In progress**
Vision: become the Baltic banking champion	Loan book growing, ROE 13.7%[4]	Long-term goal.	**In progress**

Investor information & conclusions

- **Instruments held:** a 3.875% senior preferred (MREL) bond, EUR 300m, fixed until 2028-12-23 then 3M EURIBOR + 1.70%, maturing 2029-12-23, rated Baa2; and a 7.125% perpetual AT1, EUR 50m, first reset (call) date 2031-01-09, rated Ba3[3].
- **For AT1 holders:** CET1 of 17.8% is well above requirements, and the cautious dividend policy supports capital[16].
- **Owners:** Ripplewood consortium 69.8%, EBRD 27.8%[17]. An extraordinary shareholders' meeting was held on 2026-10-12[3].
- **Conclusion:** good profitability, strong capital and cheap funding. 9M results due on 2026-11-04.

ESG report

Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel

- The bank is not active in excluded sectors and has defined industries it does not finance due to significant negative environmental impact[12].

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards

- No UN Global Compact or OECD related controversies or supervisory fines found (2026-10-22).

☑ Yes, the company is not in the list of sanctions (add a screenshot)

- Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-22).

☑ Yes, issues were not identified from adverse media checks (add a screenshot)

- No adverse news found (2026-10-22).

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)

- Green Lending Framework
- Green financing EUR 176.2m in 2025 (2024: 102.4m), green savings EUR 52m[12].
- Member of the UN Principles for Responsible Banking
- The asset manager is a PRI signatory[18].

☑ Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)

- Target of net-zero financed emissions by 2050 (Transition Plan v1)[15].

☑ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards

- No yellow flags found.

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

Applicable

- The Investments policy and the Environmental and Social & Human Rights policies[19].

Met

- Financing exclusions[12]
- 2050 climate target[15]
- UN PRB membership[18]
- AML and sanctions training for close to 100% of staff[15].

Could be improved

- Financed emission figures not found in the report.

Additional comments:

Engagement

☐ Is there a need for pro-active engagement with the company?

- No need: the bank is profitable, well capitalised and ESG practice is in order.

Additional comments:

Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund

- Green financing 11% of new lending in 2025[12]
- Women on the management board 43%, supervisory board 25%[20].

Additional comments:

Conclusion: No exclusions or red flags. Green financing is growing, with a climate target and UN PRB membership.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Financial sector - no dedicated SEB sector policy (thematic policies applied); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

1. Citadele - Ratings, 2026-10-22
2. Citadele issues EUR 50 million senior unsecured preferred bonds (2026-09-28), 2026-09-28
3. Citadele - Bonds, 2026-10-22
4. Citadele - Interim report 6M 2026, p. 2, 2026-08-05
5. Citadele - Interim report 6M 2026, p. 5, 2026-08-05
6. Citadele - Interim report 6M 2026, p. 2, 7, 2026-08-05
7. Citadele - Interim report 6M 2026, p. 5, 11, 2026-08-05
8. Citadele - Annual report 2025, p. 2, 2026-03-19
9. Citadele - Interim report 6M 2026, p. 2, 15, 2026-08-05
10. Citadele - Interim report 6M 2026, p. 2, 4, 2026-08-05
11. Citadele - Interim report 6M 2026, p. 7, 2026-08-05
12. Citadele - Annual report 2025, p. 24, 2026-03-19
13. Citadele - Annual report 2025, p. 2, 5-7, 2026-03-19
14. Citadele - Annual report 2025, p. 11, 2026-03-19
15. Citadele - Annual report 2025, p. 22, 2026-03-19
16. Citadele - Interim report 6M 2026, p. 2, 5, 2026-08-05
17. Citadele - Interim report 6M 2026, p. 11, 2026-08-05
18. Citadele - Annual report 2025, p. 23, 2026-03-19
19. SEB Policy on Sustainability Considerations in Investments (2026-04-15), p. 5, 7, 2026-04-15
20. Citadele - Annual report 2025, p. 20, 2026-03-19

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